

Court No. - 21

Case :- WRIT - C No. - 6407 of 2023

Petitioner :- Sanjeev Kumar Agarwal

Respondent :- State Of U.P. And 5 Others

Counsel for Petitioner :- Bidhan Chandra Rai

Counsel for Respondent :- C.S.C.,Pranjal Mehrotra

Hon'ble Manoj Kumar Gupta,J.

Hon'ble Syed Qamar Hasan Rizvi,J.

1. The instant petition is directed against the order dated 14.12.2022 passed by Appellate Authority (Commissioner, Moradabad Division, Moradabad) in an appeal filed before him by the petitioner under Section 127 of the Electricity Act, 2003 against an order of final assessment in a case of alleged theft of electricity and the recovery certificate dated 7.1.2023. The Appellate Authority has recalled its earlier order dated 22.9.2022 by which stay was granted to the petitioner against realization of the amount assessed against him with a further direction to restore the electricity supply. The order records that the petitioner in compliance of order dated 9.9.2022 (date wrongly mentioned as 22.9.2022) passed by the Appellate Authority had deposited half of the amount assessed against him and accordingly on 22.9.2022, an interim order was passed. The impugned order has been passed on recall application filed by the respondent electricity department. The main consideration for recalling the order is that it was a case of theft of electricity by tampering the meter and an FIR was also registered against the petitioner. The Appellate Authority while recalling the stay order had fixed 2.1.2023 as the date for hearing of the appeal.

2. Sri B.C. Rai, learned counsel for the petitioner points out that on 2.1.2023, the hearing could not take place as the respondent department had not filed its reply. He is not aware of the next date

fixed in the matter.

3. Sri B.C. Rai, learned counsel for the petitioner submits that the impugned order is manifestly illegal inasmuch as the intention of the legislature is that in a duly instituted appeal where compliance of the requirement relating to deposit of half of the assessed amount has been made, no further recovery should be effected during pendency of the appeal. In support of his contention, he has placed reliance on the Scheme of Section 127 and Clause 6.8(d) (iv) of the U.P. Electricity Supply Code, 2005.

4. Sri Pranjal Mehrotra, learned counsel appearing for the respondent electricity department is not in a position to dispute that in terms of the above provision, the licensee is prohibited from taking any action for recovery of the assessed amount for a period of 30 days during which appeal could be filed.

5. The Code therefore specifically provides for stay of recovery during the initial period of 30 days which is also the limitation prescribed for filing of the appeal. The appeal when filed has to be decided within 30 days and Section 127 enjoins upon the Appellate Authority to dispose of the appeal after hearing the parties and pass appropriate order and send copy of the order to the Assessing Officer and the appellant. Sub-section (6) provides that when a person defaults in making payment of assessed amount, he, in addition to the assessed amount, shall be liable to pay, on the expire of 30 days from the date of order of assessment, an amount of interest @ 16 % per annum compounded every six months. The intention of the legislature is that the cases where the person aggrieved has preferred appeal after depositing half of the assessed amount the appeal should be decided within 30 days and based on decision of the Appellate Authority further liability should be

worked out and whereunder the person has been made liable to pay interest @ 16% per annum compounded every six months if payment is made after expiry of 30 days.

6. Consequently, the Appellate Authority was not right in vacating the stay on the ground that it was a case of theft of electricity inasmuch as the appeal contemplated under Section 127 of the Act are appeals filed by aggrieved person against order of assessment in case of theft or unauthorized use of electricity. If the said consideration is held to be germane there would be no stay in any case.

7. Sri Pranjali Mehrotra, learned counsel appearing for the electricity department submits that the direction initially given by the Appellate Authority to restore electric supply, was illegal and has rightly been recalled by the impugned order. We find considerable force in the said submission as we find that the supply was disconnected on 29.6.2022 when raid was conducted and meter was found tampered. The respondents had removed the meter and it was sent for testing.

8. At this stage, Sri B.C., Rai, learned counsel for the petitioner submits that the Appellate Authority be directed to decide the appeal within two weeks, to which Sri Pranjali Mehrotra, learned counsel for the electricity department has no objection.

9. Accordingly, we quash the impugned order dated 14.12.2022 to the extent it seeks to discharge the stay order granted earlier against recovery of the remaining amount from the petitioner. We provide that the recovery of the said amount shall remain stayed during pendency of the appeal. However, the other part of the order by which the direction for restoring the electricity supply has been recalled is not being interfered with in view of the fact that

disconnection was made on 29.6.2022 and since than more than 7 months have already passed. Therefore, the resumption of electricity supply is made dependent upon the ultimate outcome of the appeal.

10. We further direct the Appellate Authority (respondent no. 4) to decide the appeal within three weeks by preponing the date if needed. The petitioner shall produce true copy of the instant order before respondent no. 4 within three days from today.

11. In the result, the petition is allowed to the extent indicated above.

Order Date :- 24.2.2023

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(Syed Qamar Hasan Rizvi,J.) (Manoj Kumar Gupta,J.)